

FY2026 Year-End Operating Summary

Tallowbrook Health | Office of the COO | 2026-09-10 | v1.0 (board package, September 2026)

This summary reports Tallowbrook's operating results for the fiscal year ended June 30, 2026, with July and August 2026 trends, for the Finance & Operations Committee meeting on September 17. Financial results are unaudited; the audit is expected in October. Volume figures come from the facility activity series maintained by Decision Support.

Headlines

- Inpatient admissions rose 1.0% to 16,651; growth came entirely from Hospital Fort Bend (+7.2%), while Medical Center West was 2.2% lower.
- Emergency visits rose 3.2% to 105,599, and outpatient imaging and visits grew fastest at Stafford (about +8%).
- Operating income was \$8.6 million on \$618.4 million of net operating revenue, a 1.4% margin against a 2.1% budget.
- Agency nursing hours fell at both hospitals after the Central Staffing Office started, and the RN vacancy rate fell to 11.8%.
- July and August 2026 volumes are running above the same months last year at both hospitals.

Volumes by facility

Medical Center West admitted 10,758 inpatients, down 2.2% from FY2025, with 62,487 emergency visits (+1.5%), 8,370 surgical cases and 2,399 births.

Hospital Fort Bend admitted 5,893 inpatients (+7.2%) and saw 43,112 emergency visits (+5.6%) and 4,589 surgical cases.

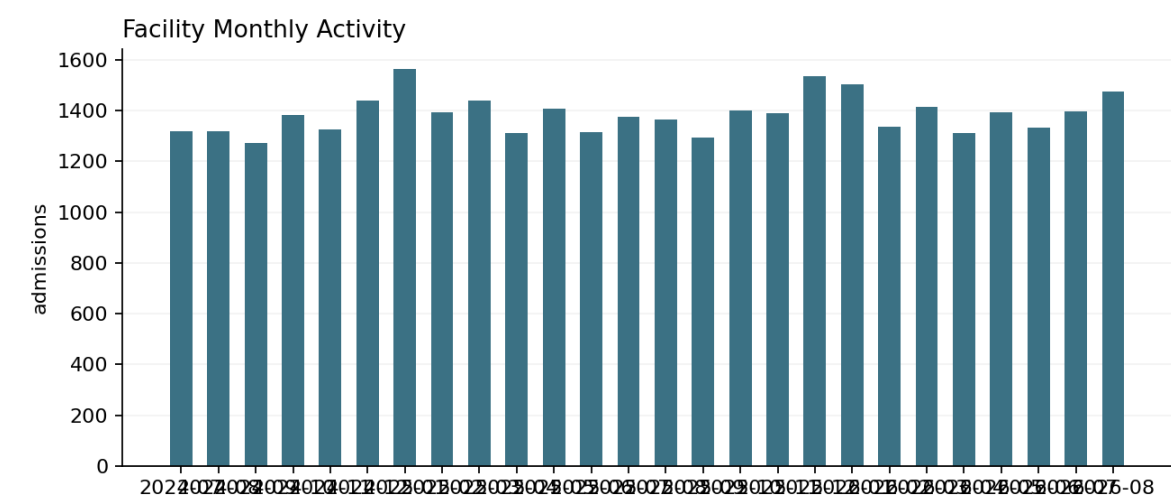
The Surgery Center Grand Parkway performed 6,252 cases (+0.8%). The Pavilion performed 30,740 imaging exams (+2.5%) and 73,863 other outpatient visits (+3.6%).

Imaging & Therapy Stafford performed 44,825 imaging exams (+8.3%) and 19,218 therapy and other visits (+8.2%). Mission Bend recorded 41,653 clinic and urgent care visits (+3.7%).

Monthly admissions trend

The chart shows total inpatient admissions for both hospitals by month from July 2024 through August 2026. The table beneath summarizes the full 26-month extract for all six facilities, not the fiscal year alone.

The winter of 2024-25 was the busiest period in the series. The 2025-26 winter was milder.



Measure	Value
Measure	inpatient_admissions
Unit	admissions
Total	36013
Mean	230.8526
Records	156
Period	2024-07-01 to 2026-08-31
Measure	patient_days
Unit	days
Total	160996
Mean	1032.0256
Records	156
Period	2024-07-01 to 2026-08-31
Measure	ed_visits
Unit	visits
Total	226605
Mean	1452.5962
Records	156
Period	2024-07-01 to 2026-08-31
Measure	surgical_cases
Unit	cases
Total	41432
Mean	265.5897
Records	156
Period	2024-07-01 to 2026-08-31
Measure	births
Unit	births
Total	5223
Mean	33.4808
Records	156
Period	2024-07-01 to 2026-08-31
Measure	imaging_exams
Unit	exams

Total	564092
Mean	3615.9744
Records	156
Period	2024-07-01 to 2026-08-31
Measure	outpatient_visits
Unit	visits
Total	391033
Mean	2506.6218
Records	156
Period	2024-07-01 to 2026-08-31

All six facilities, monthly, July 2024 to August 2026. Counts from EHR and ASC system extracts; inpatient admissions exclude observation stays; outpatient visits exclude ED visits and imaging exams.

Capacity

Average occupancy of staffed beds was 70.6% at Medical Center West (72.5% in FY2025) and 70.3% at Hospital Fort Bend, up from 66.0%. Average length of stay was 4.6 days at West and 4.18 days at Fort Bend.

West occupancy reached 82.7% in February 2025 but only 73.2% in February 2026. August 2026 reached 76.7%, higher than usual for summer.

Fort Bend's growth is the main reason the fourth-floor options study is on the committee's agenda this year.

Workforce and premium labor

We ended the year with about 3,080 employees (2,650 FTEs), including about 1,015 RN FTEs. The hospital RN vacancy rate was 11.8% at June 30, down from 14.9% a year earlier.

Agency hours fell from 4.8% to 2.7% of worked RN hours at Medical Center West after the Central Staffing Office opened in October 2025, and from 8.3% to 5.1% at Hospital Fort Bend after it joined in February 2026.

Float pool hours rose over the same periods, as intended.

Financial results

Net operating revenue was \$618.4 million, up 5.2% from \$587.9 million in FY2025. Operating expenses were \$609.8 million, leaving operating income of \$8.6 million (1.4%) against a budgeted 2.1%. FY2025 operating income was \$12.3 million (2.1%).

Salaries, wages and benefits were about 48% of expense, supplies 16%, purchased services and other 30%, and depreciation and interest 6%.

Net patient revenue by payer: managed care 49%, Medicare 32%, Medicaid 14%, self-pay and other 5%.

Capital spending was \$41.2 million, including the CT replacement at Medical Center West and the Stafford MRI upgrade. Community benefit was \$38.6 million, unaudited.

Early FY2027 trends

In July and August 2026, Medical Center West admitted 1,865 patients against 1,792 a year earlier, with 10,988 emergency visits against 10,641.

Hospital Fort Bend admitted 1,006 against 948 and saw 7,677 emergency visits against 7,254. Two months is too short to change the FY2027 volume budget.

For the committee

- Fort Bend fourth floor: options range from deferral to 18 beds (\$14.5 million) or 36 beds (\$26.0 million); a board decision is planned for February 2027 with the FY2028 capital plan.
- Improvement portfolio: the West patient flow pilot, Central Staffing Phase 2 and the CMMS consolidation are active; management will report status in October.
- Margin: management will present FY2027 expense actions with the audited results.